



IIT ROORKEE



NPTEL ONLINE
CERTIFICATION COURSE

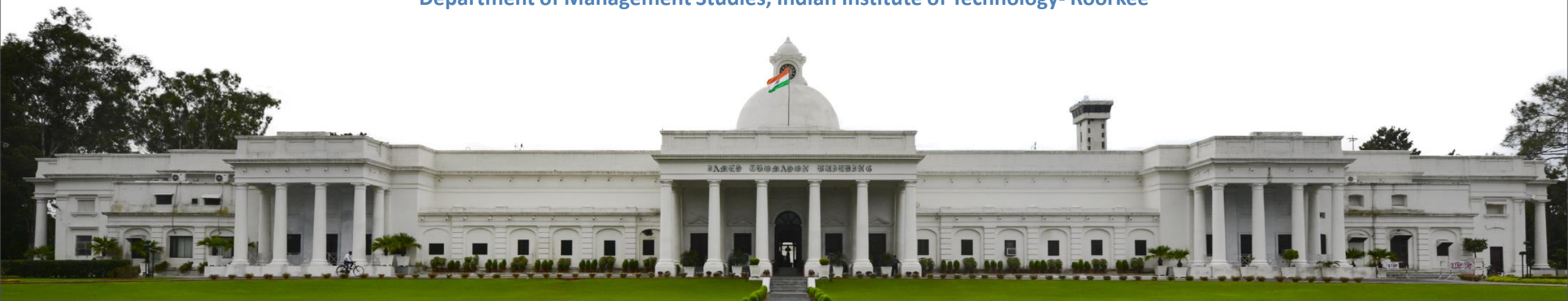
Human Resource Analytics

Lecture 43

Steps of performance management

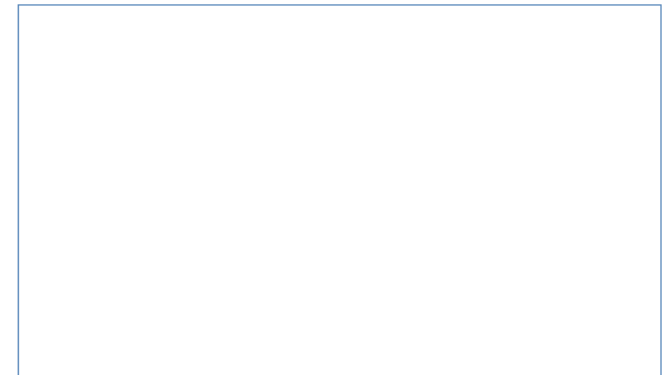
Prof Santosh Rangnekar

Department of Management Studies, Indian Institute of Technology- Roorkee



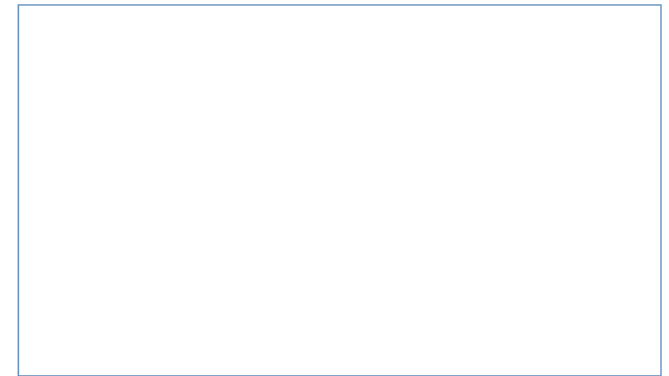
Contents:

- Meaning of performance appraisal
- Difference between performance management and performance appraisal
- The performance appraisal process
- Best practices of employee appraisal in India
- Benefits of performance appraisal
- Methods of performance appraisal
- Potential appraisal
- Steps of potential appraisal
- Benefits of potential appraisal



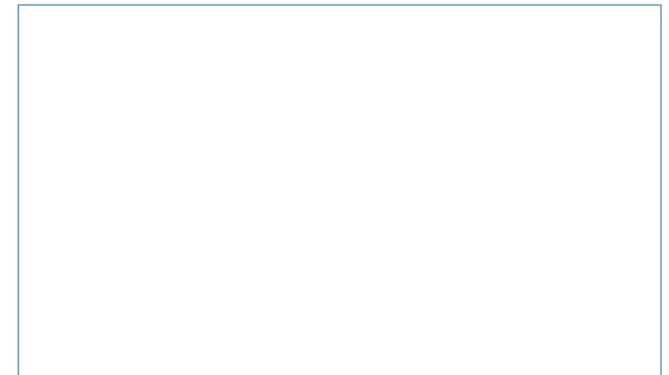
Meaning of Performance Appraisal

- Performance appraisal is the step where the management finds out how effective it has been at hiring and placing employees .
- Performance appraisal is a systematic and objective way of evaluating both work related behaviour and potential of employees.



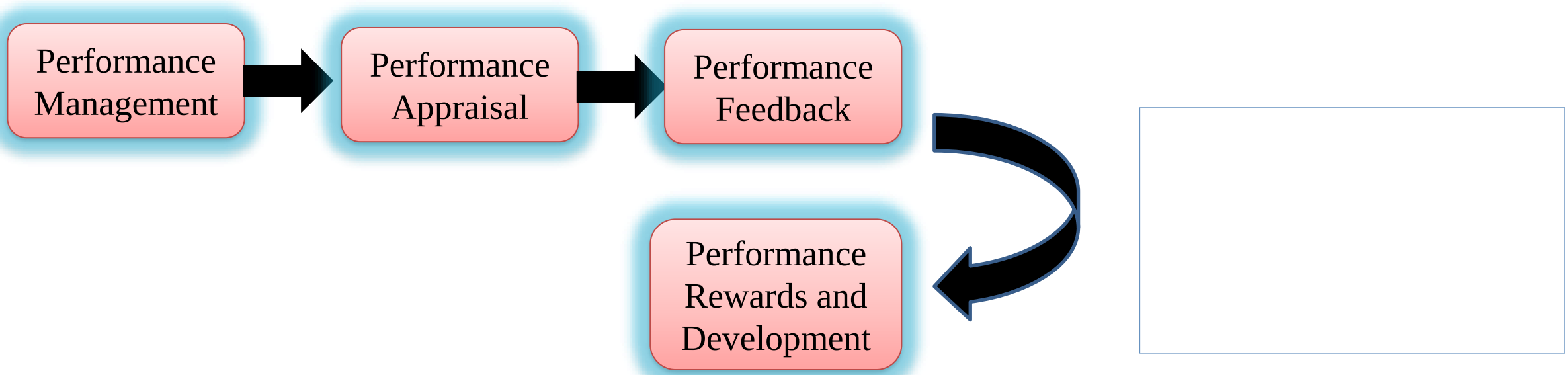
Definitions of Performance Appraisal:

Author	Definition
Dale Yoder	Performance appraisal includes all formal procedures used to evaluate personalities and contributions and potentials of group members in a working organisation. It is a continuous process to secure information necessary for making correct and objective decisions on employees.
Newstrom	It is the process of evaluating the performance of employees, sharing that information with them and searching for ways to improve their performance.

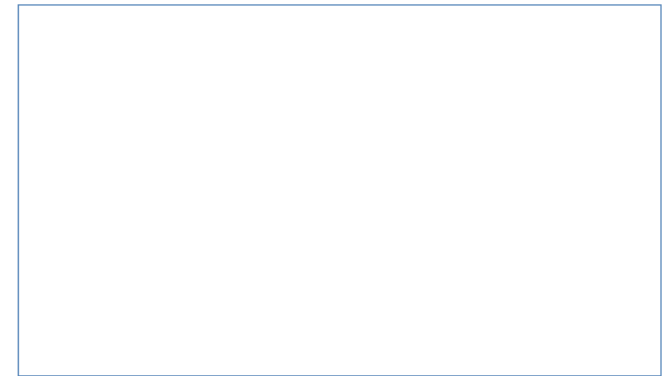
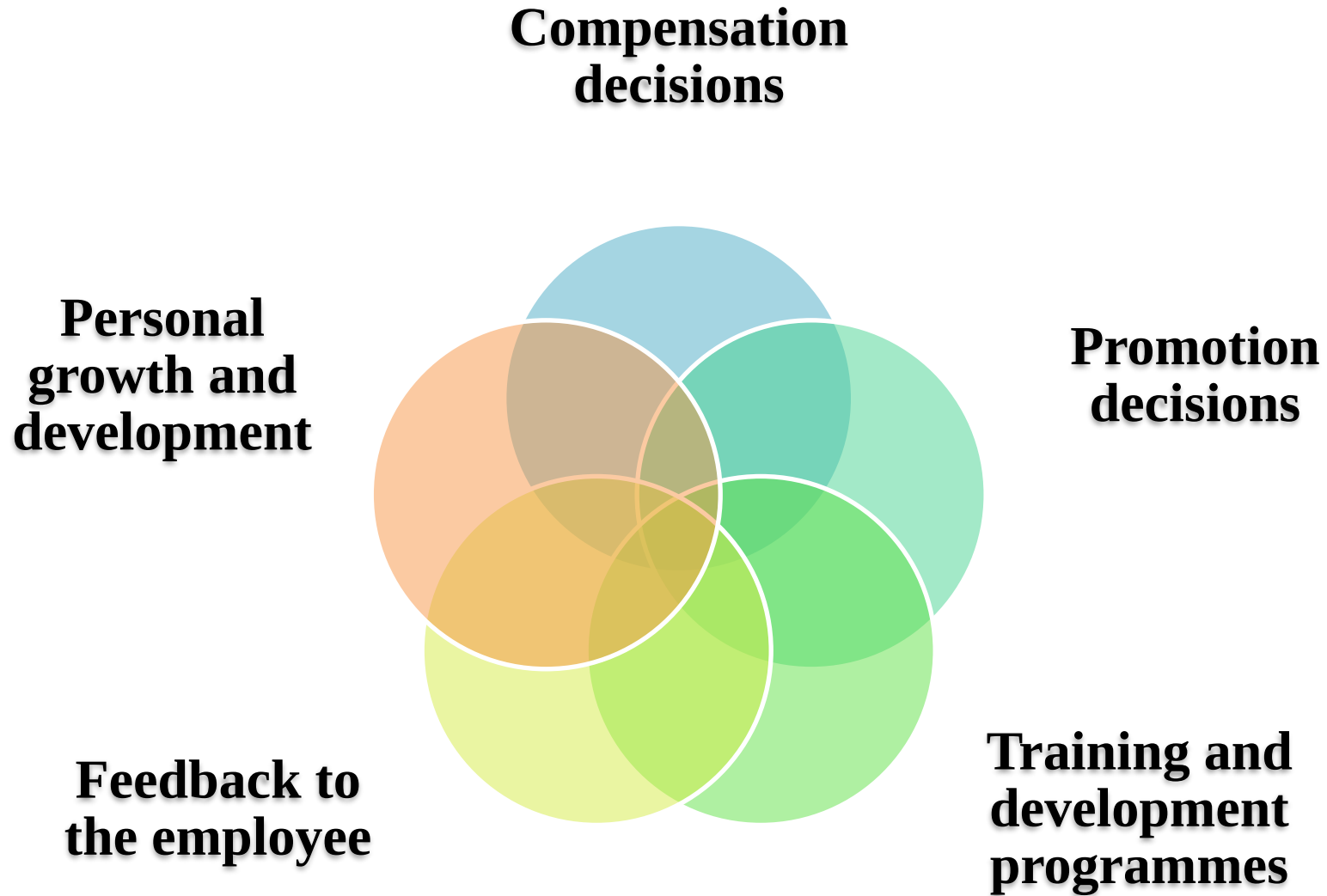


Difference Between Performance Management and Performance Appraisals

Performance Management	Performance Appraisal
Processes used to identify, encourage, measure, evaluate, improve, and reward employee performance.	The process of evaluating how well employees perform their jobs and then communicating that information to the employees.



Objectives of Performance Appraisal:



Why Have Performance Appraisal ?

Individual



- Recognition of past efforts
- To know the developmental requirements

Team

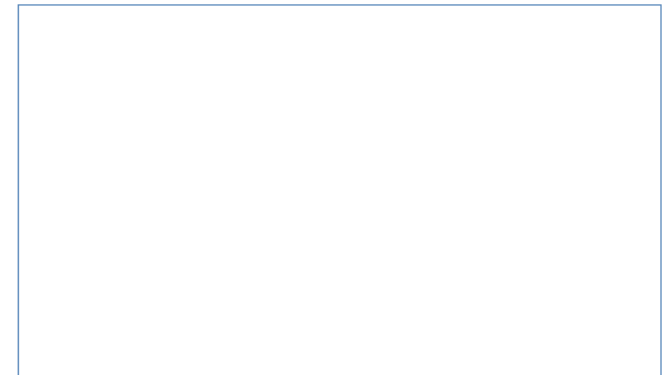


- Alignment of efforts with the objectives
- Motivation to team members

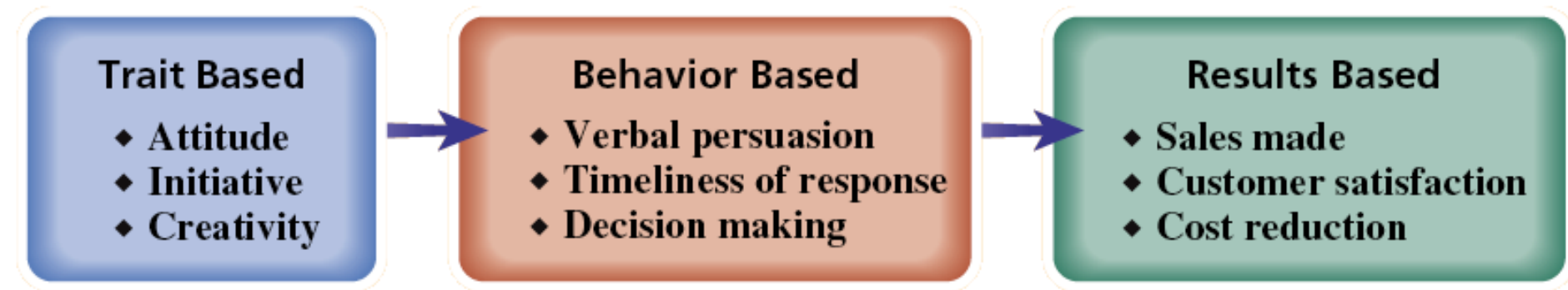
Organisation



- Development of Human Capital
- Best Utilization of Resources



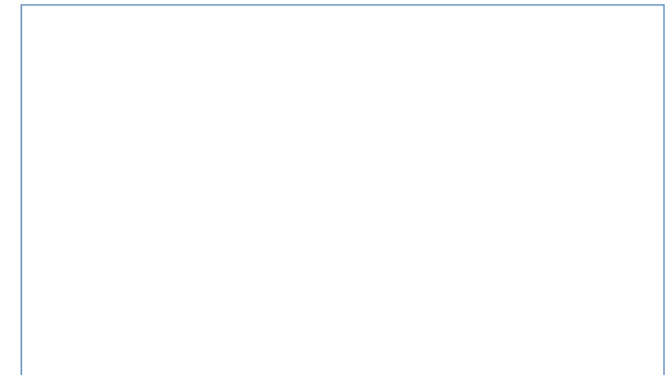
Types of Performance Information:



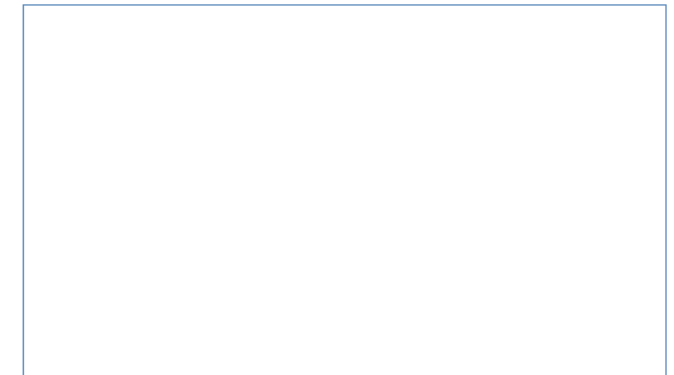
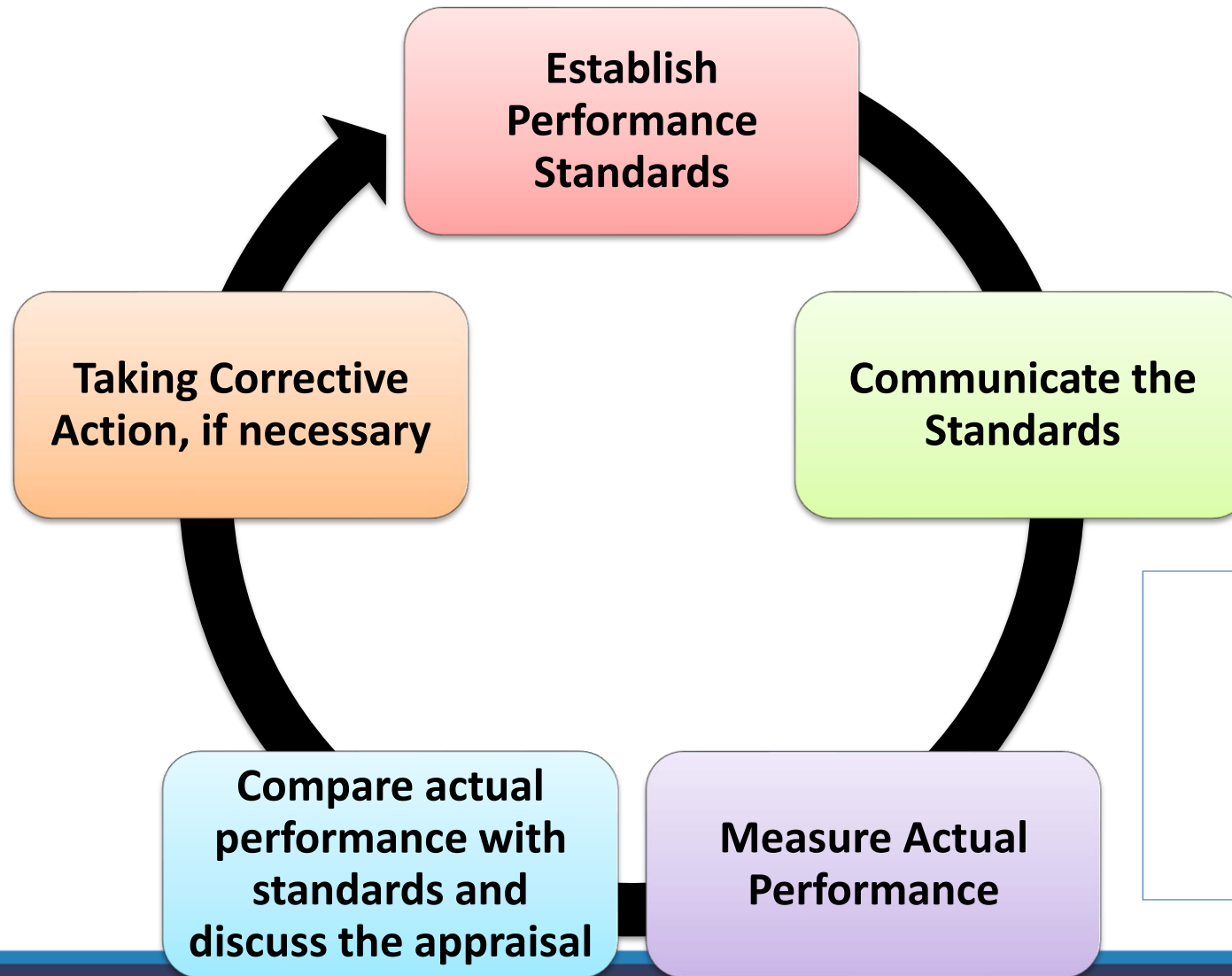
Less Useful



More Useful



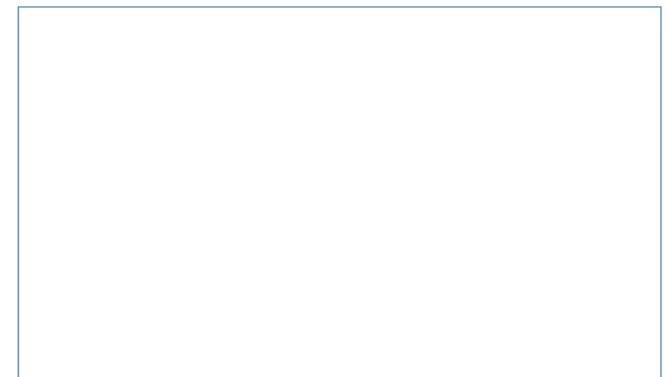
Performance Appraisal Process:



Best Practices in employee performance appraisal:

- Engineering major Larsen & Toubro has developed a competency matrix which lists 73 competencies-that vary across managerial levels-to measure performance and gauge developmental needs of its employees.
- Each listed competency has associated knowledge, skills, and attributes.
- The company appraises individual employees on the listed competencies, and zeroes in on the functional, managerial, and behavioural skill gaps. Subsequently, customised reinforcement is provided.
- Further, as the matrix is linked to business strategy on the one hand and training needs on the other, strategic needs drive the company's development policies, making the process of re-learning and re-skilling easier, and more focused.

Larsen & Toubro

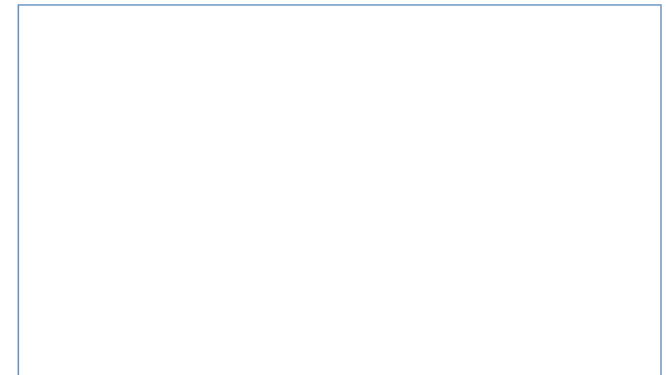


Best Practices in employee performance appraisal (cntd.)

Hughes
Escorts



- Hughes Escorts, the subsidiary of the US-headquartered telecom company, Hughes, uses a competency-based performance-enhancement model.
- Each position in the organisation is defined in terms of 23 key competencies, categorised into four groups: attitude-based, knowledge-driven, skill-centred, and value-based.
- The company uses these competencies to measure shortfalls and provide relevant training inputs.
- It is done to both maximise productivity and make employees aware of their professional standing.



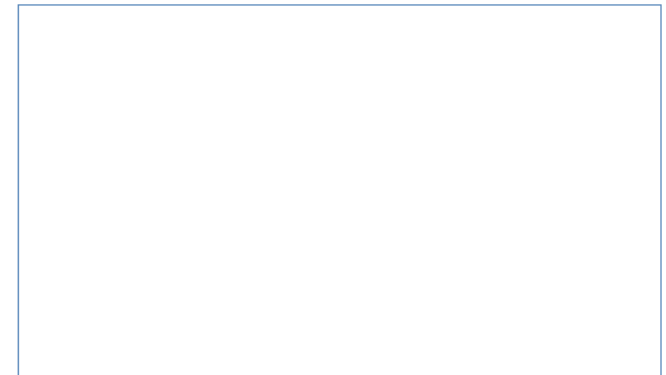
Best Practices in employee performance appraisal (cntd.)

National
Panasonic

- The Japanese white-goods major has developed a performance-assessment system driven by Key Result Areas (KRAs).
- KRAs describe performance goals-business, functional, and behavioural ones-with defined time-frames and are decided jointly by the employee and his manager at the beginning of the year.
- It is a structured exercise using a written format. These KRAs are then used to map the employee's progress and, based on the results; the company decides to plug performance gaps with the help of relevant training inputs.
- National Panasonic puts a great deal of emphasis on this process for re-skilling its employees as it believes in growing its own timber rather than opting for expensive mid-career hires.

Panasonic

972 × 230 - logo-timeline.wikia.com

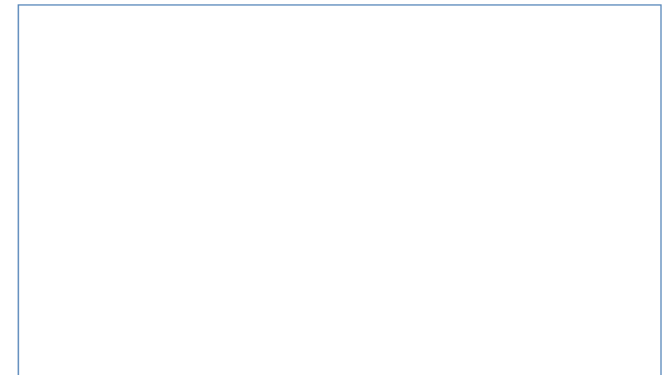


Best Practices in employee performance appraisal (cntd.)



EIH Ltd.

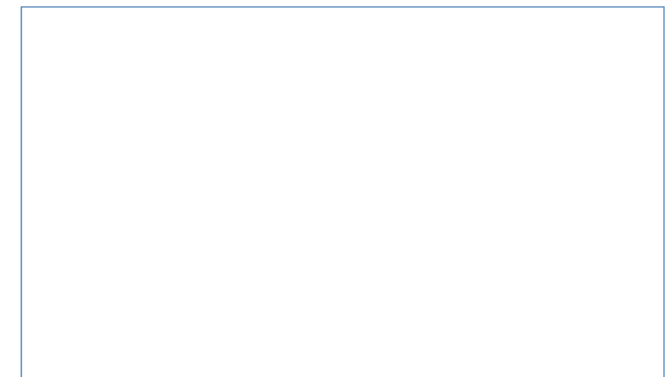
- Hospitality Company EIH recently overhauled its performance appraisal system to make it more participatory and competency driven.
- Now, employees are appraised on the achievement of specific individual and functional targets, as well as, generic competencies like technical, functional, managerial, decision- making, and leadership skills.
- Performance ratings ranging from outstanding to below average are given accordingly.
- The exercise is followed by an employee feedback process, where employees are required to answer.
- EIH had taken its managers through an extensive tour of its new appraisal process to raise comfort levels, and hopes to use it as a vehicle for people-based growth.



Best Practices in employee performance appraisal (cntd.)

Pepsi Co.
India

- Beverage giant Pepsi Co. India employs an annual appraisal process that is (numerical) target driven.
- As a large part of Pepsi's compensation package comprises performance pay in the form of bonuses- varying from 15% at junior levels to 60% at senior levels- the manager's performance is determined on 3 key parameters-
 - ✓ Volume growth
 - ✓ Market share
 - ✓ Net operating profit, to compute the variable component to compensation.
- Managers are also rated on key behavioural and functional competencies to assess their potential for advancement within the organisation.



Benefits of performance appraisal

[Administrative uses]

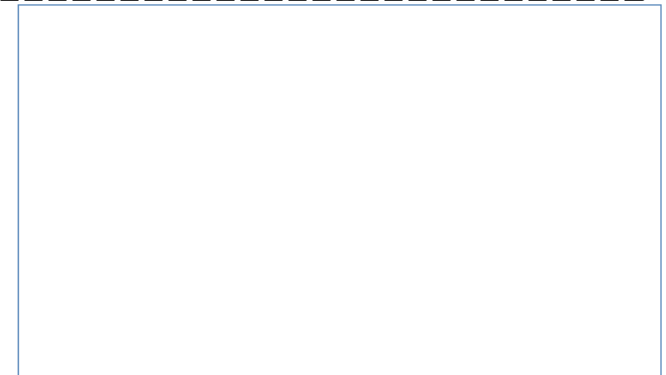


- Makes a difference to company performance.
- Documentation of performance appraisal and feedback may be required for legal defense.
- Appraisal offers a rational basis for constructing a bonus or merit system.
- Appraisal dimensions and standards can help to implement strategic goals and clarify performance expectations.

[Developmental Purposes]



- Individual feedback helps people to rectify their mistakes and get ahead, focusing more on their unique strengths.
- Assessment and reorganisation of performance levels can motivate employees to improve their performance.

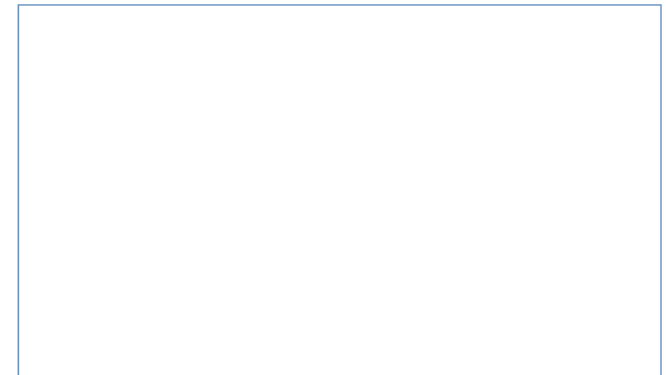


**Behaviour,
including
observable
physical actions,
movements**

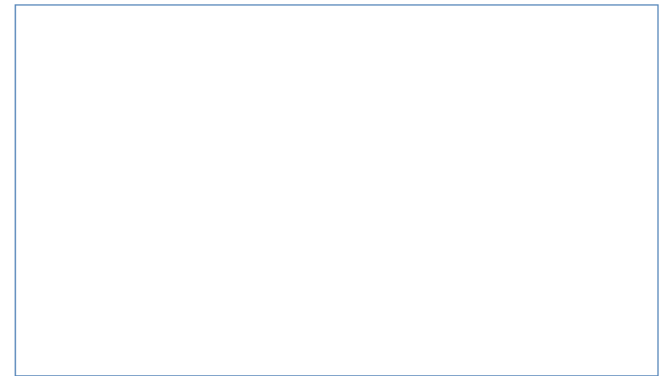
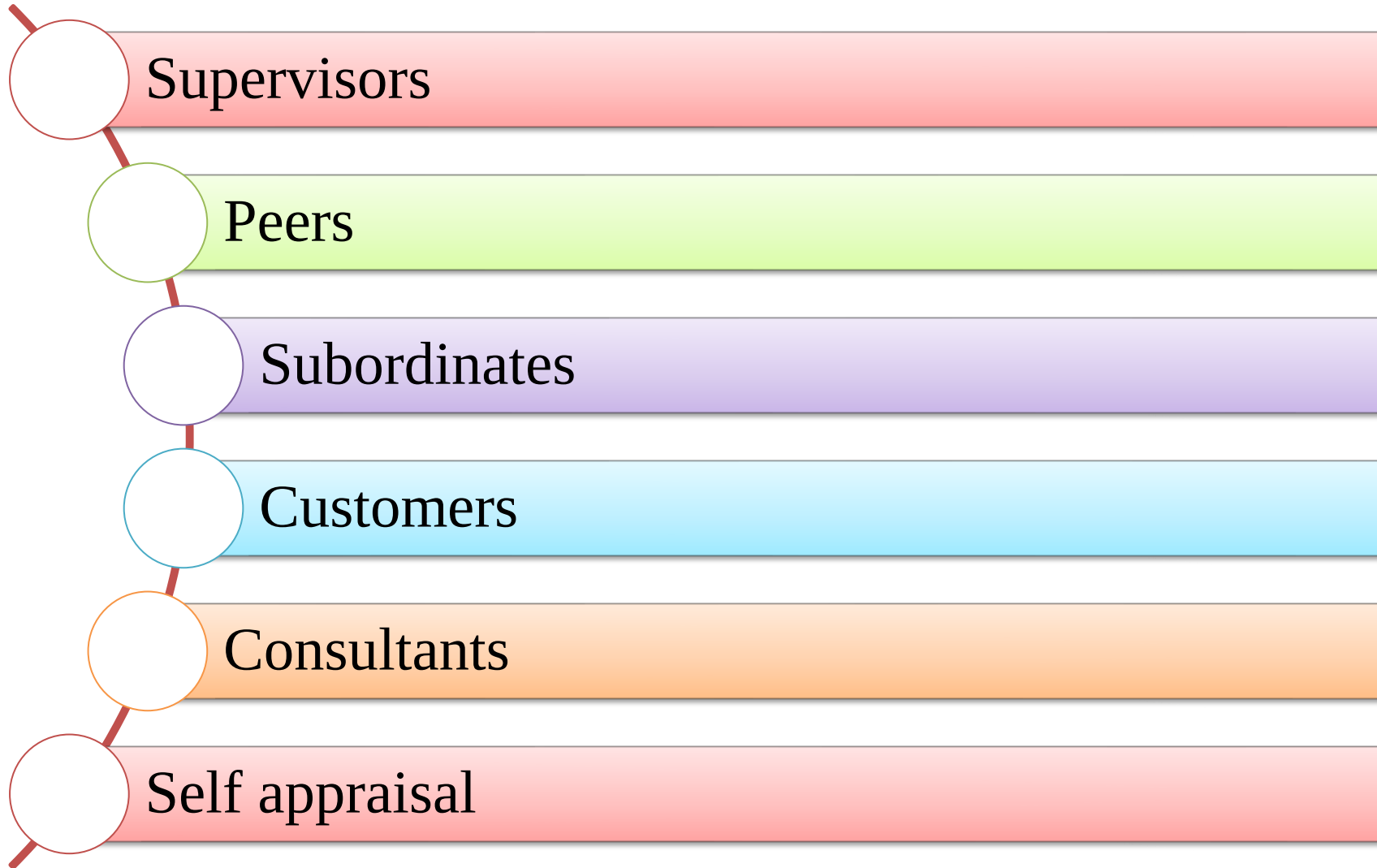
**Objectives which
measure job
related results**

**Traits which are
measured in
terms of personal
characteristics**

What is to be appraised?



Who will appraise?



Methods of Performance Appraisal

Methods of Performance Appraisal

Individual Evaluation Methods

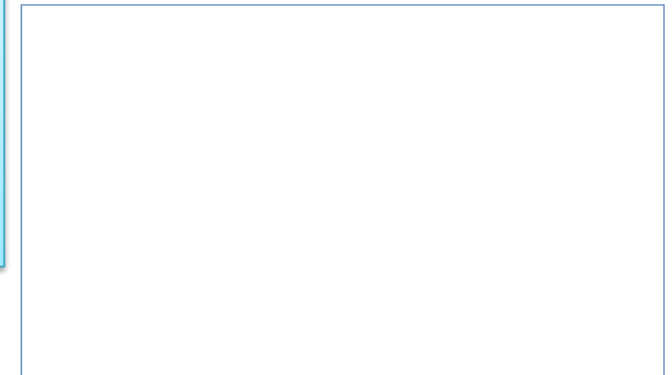
1. Confidential Report
2. Essay Evaluation
3. Critical Incidents
4. Checklists
5. Graphic Check List
6. Behaviourally Anchored Rating scale
7. Forced Choice Method
8. MBO

Multiple Person Evaluation Methods

9. Ranking
10. Paired Comparison
11. Forced Distribution

Other Methods

12. Group Appraisal
13. HRA
14. Assessment Centre
15. Field review



Graphic or Linear Rating Scales

ATTITUDE

0 5 10 15 20

No interest
In work:
consistent
complainer

Careless:
In-different
Instructions

Interested in
work:
Accepts
opinions &
advice of
others

Enthusiasti
c about job
&
fellow-
workers

Enthusiastic
opinions &
advice
sought by
others

DECISIVENESS

0 5 10 15 20

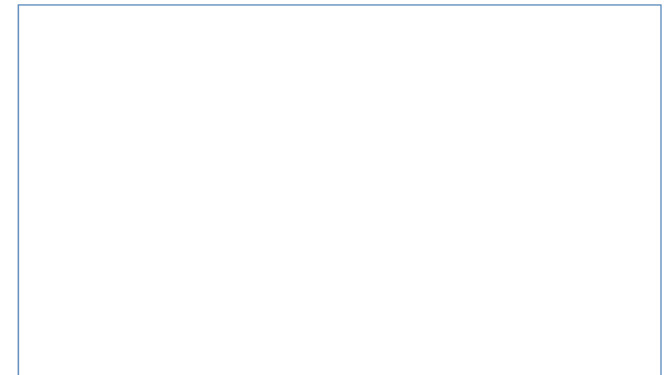
Slow to
take
decisions

Take
decisions
after careful
consideration

Takes
decisions
promptly

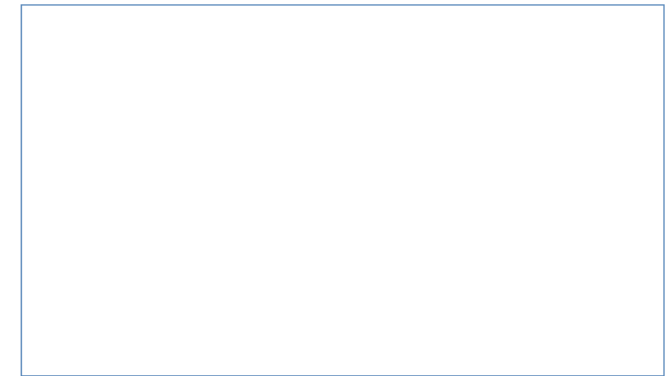
Take
decisions in
consultation
with others
whose views
he values

Take
decisions
without
consultation



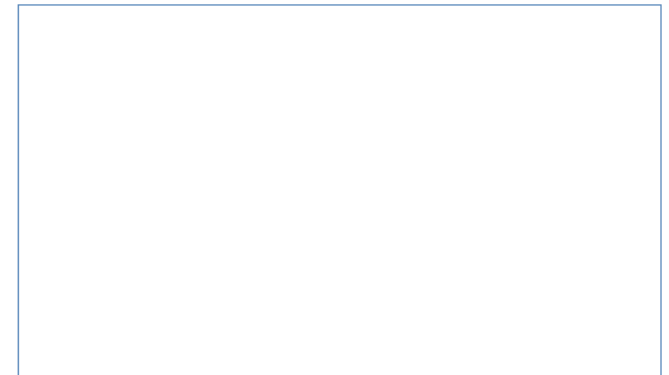
Forced choice method

Criteria		Rating	
1.Regularity on the job	Most	Least	
•Always regular •Inform in advance for delay •Never regular •Remain absent •Neither regular nor irregular			



Forced Distribution Method

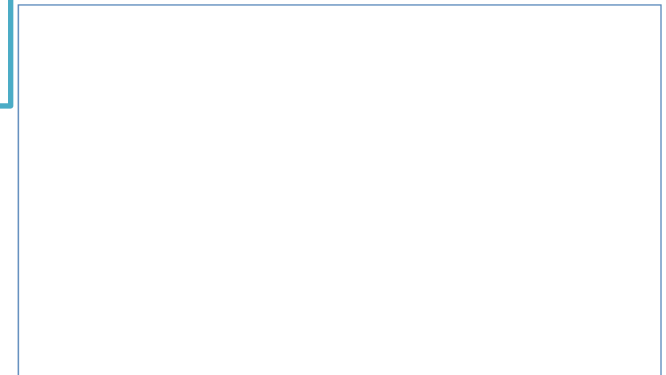
- At Sun Microsystems managers appraise employees in groups of about 30.
- There is a top 10%, a middle 70%, and a bottom 10%.
- The bottom 10% can either take a quick exit package or embark on a 90-day performance improvement action plan.



Critical Incident Method

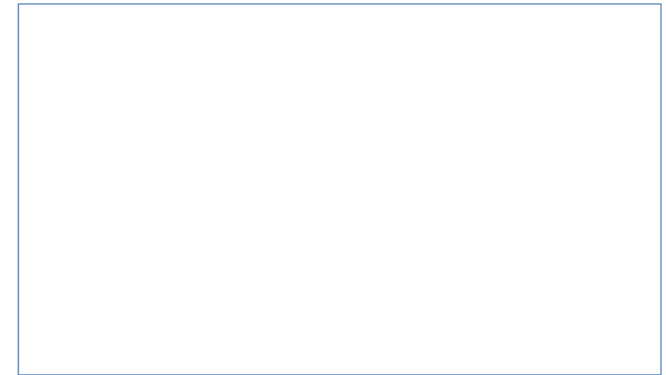
Ex: A fire, sudden breakdown, accident

Workers	Reaction	scale
A	Informed the supervisor immediately	5
B	Become anxious on loss of output	4
C	Tried to repair the machine	3
D	Complained for poor maintenance	2
E	Was happy to forced test	1

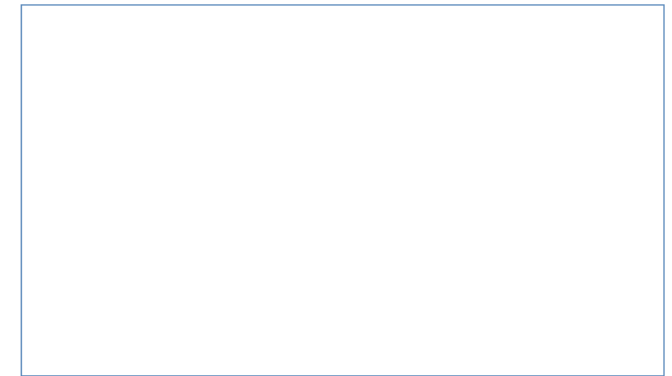
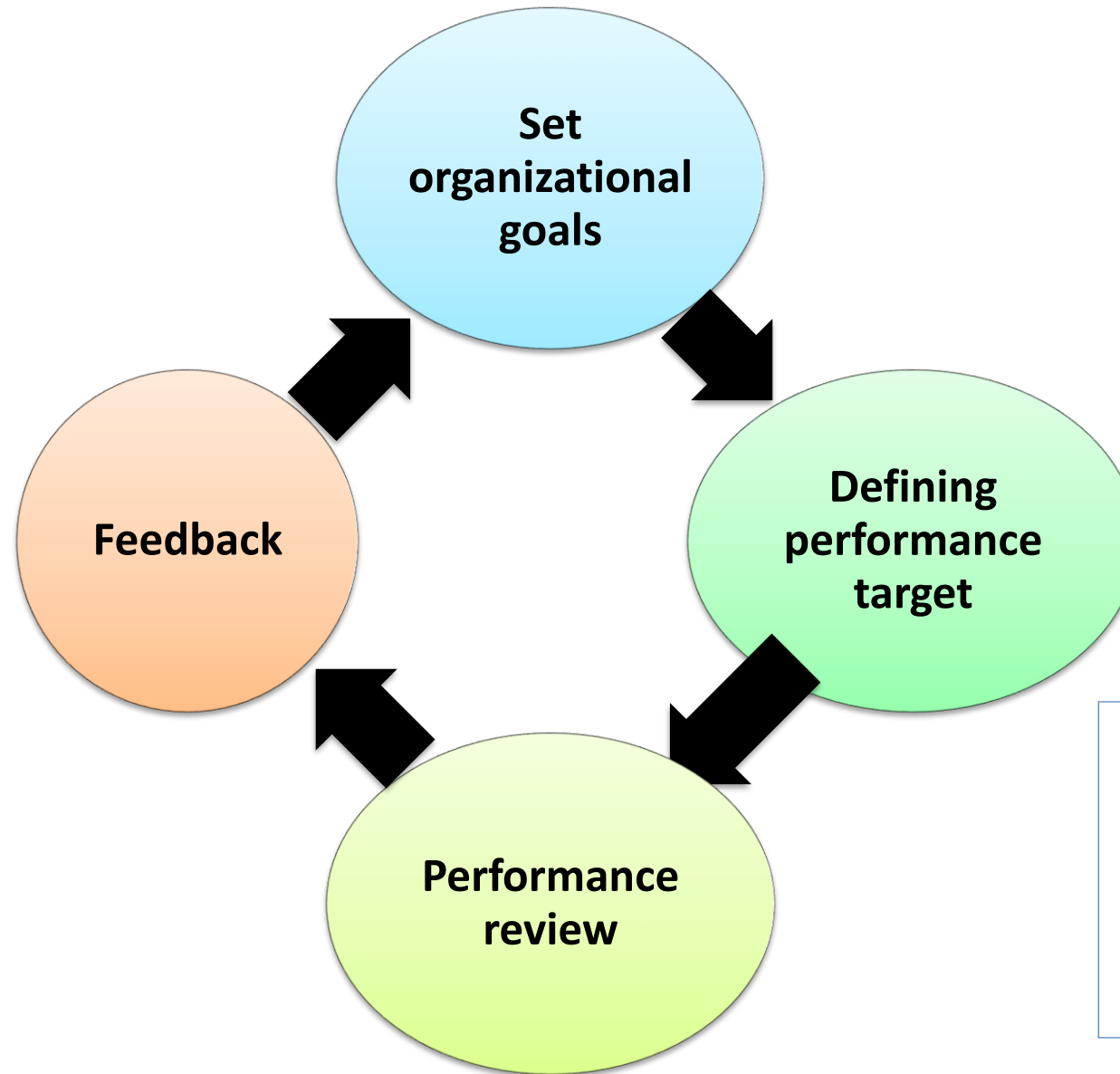


Field Review method

Performance Dimension	subordinate	peers	superior	customer
Leadership	^			^
Communication	^	^		
Interpersonal skills	^	^		
Decision making		^	^	^
Technical skills		^	^	^
Motivation		^	^	^



MBO Process

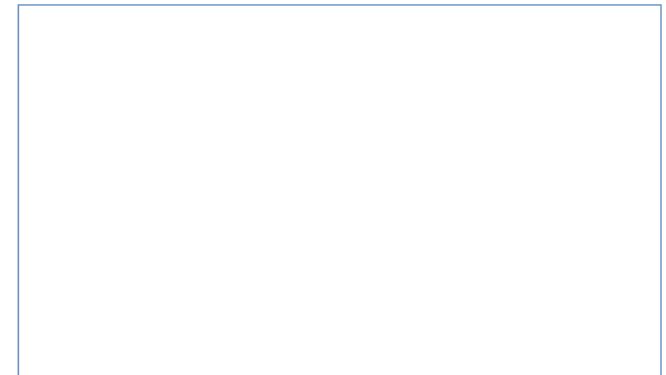


Paired Comparison Method

FIGURE 6.4 Paired Comparison Method

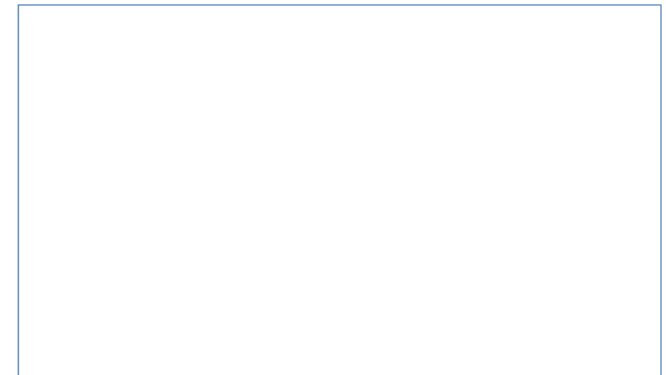
FOR THE TRAIT "QUALITY OF WORK"						FOR THE TRAIT "CREATIVITY"					
Employee Rated:						Employee Rated:					
As Compared to:	A Art	B Maria	C Chuck	D Diane	E José	As Compared to:	A Art	B Maria	C Chuck	D Diane	E José
A Art		+	+			A Art					
B Maria	–		–	–	–	B Maria	+		–	+	+
C Chuck	–	+		+	–	C Chuck	+	+		–	+
D Diane	+	+	–		+	D Diane	+	–	+		–
E José	+	+	+	–		E José	+	–	–	+	
↑ Maria Ranks Highest Here						↑ Art Ranks Highest Here					

Note: + means "better than," – means "worse than." For each chart, add up the number of +'s in each column to get the highest ranked employee.



Behavioral Anchored Rating Scales:

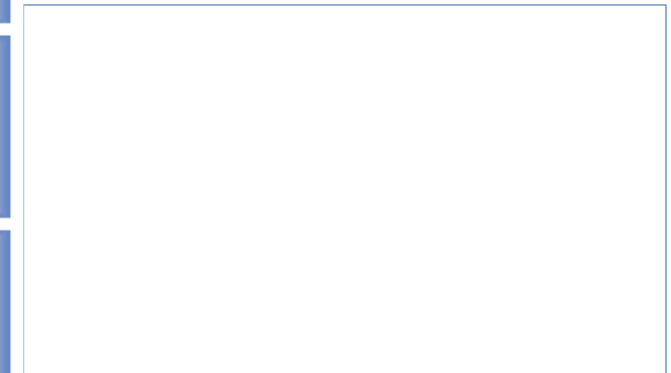
Performance	Points	Behavior
Extremely good	7	Can expect trainee to make valuable suggestions for increased sales and to have positive relationships with customers all over the country.
Good	6	Can expect to initiate creative ideas for improved sales.
Above average	5	Can expect to keep in touch with the customers throughout the year.
Average	4	Can manage, with difficulty, to deliver the goods in time.
Below average	3	Can expect to unload the trucks when asked by the supervisor.
Poor	2	Can expect to inform only a part of the customers.
Extremely poor	1	Can expect to take extended coffee breaks & roam around purposelessly.



Behaviorally-Anchored Rating Scale for Customer Service Skills

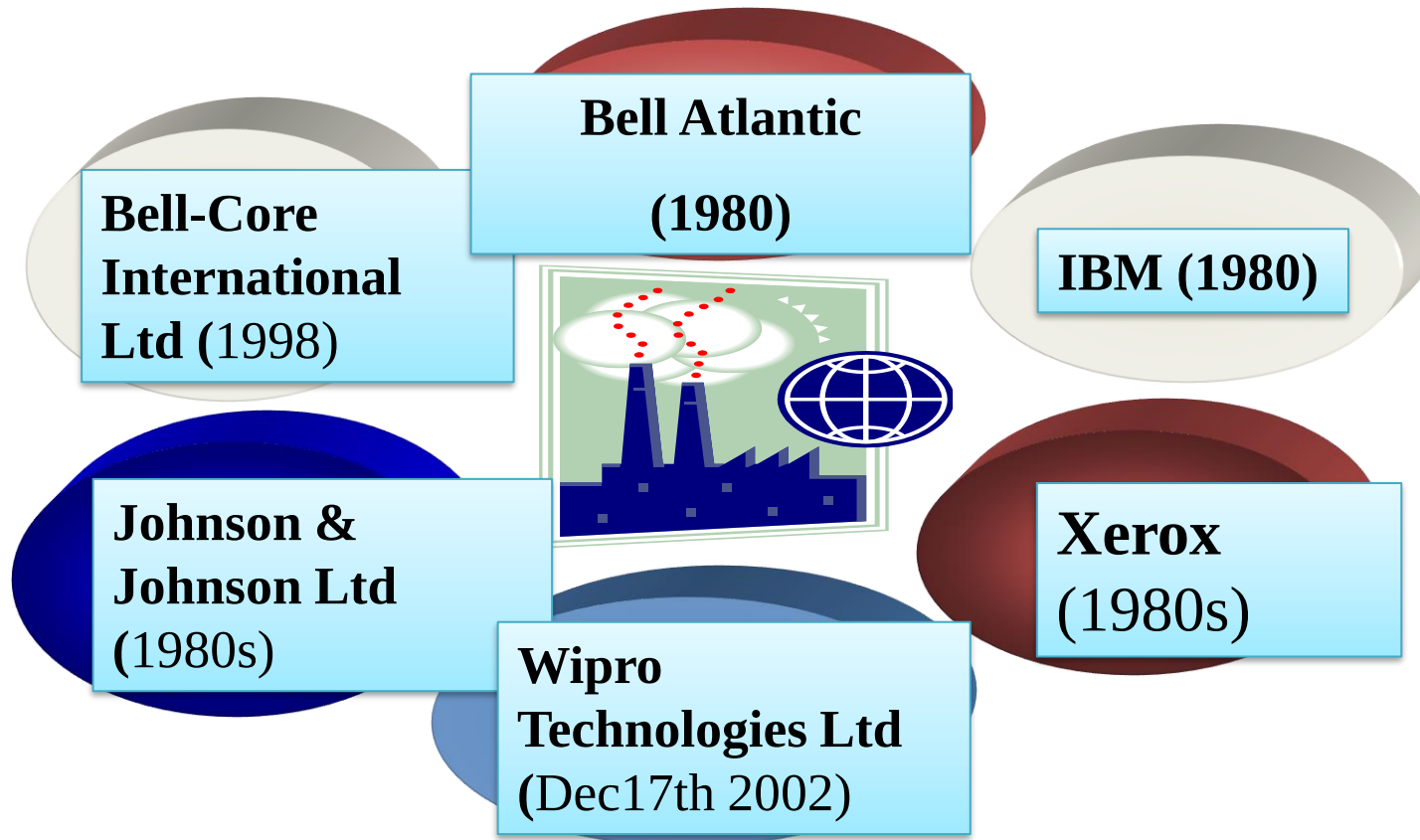
The Customer Service Representative

Outstanding	5	Used positive phrases to explain product
	4	Offered additional pertinent information when asked questions by customer
Satisfactory	3	Referred customer to another product when requested item was not available
	2	Discouraged customer from waiting for an out-of-stock item
Unsatisfactory	1	Argued with customer about suitability of requested product

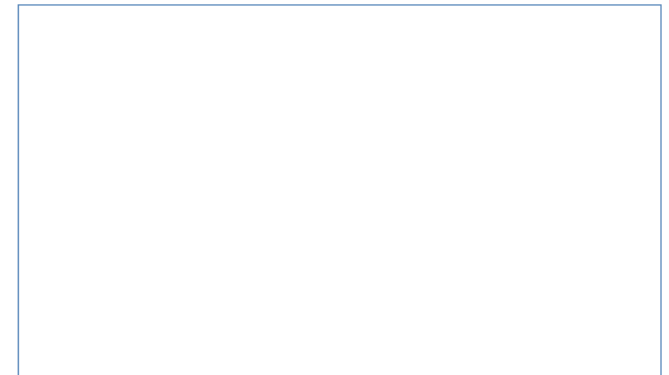


360⁰ Appraisal

360 - Degree Appraisal is a system or process in which employees receive confidential, anonymous feedback from the people who work around them.



Companies using 360⁰ Performance Appraisals



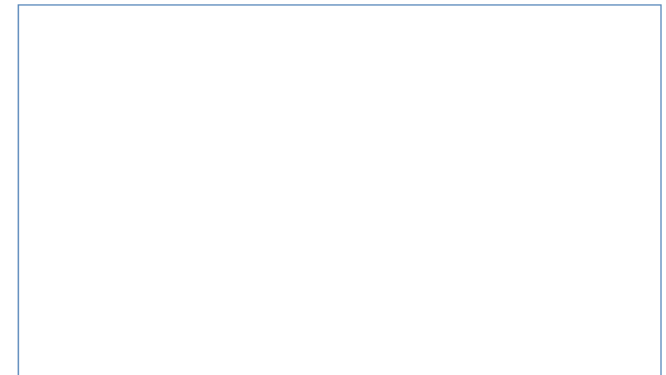
What are 360° Measures ?

360 degree measures behaviors and competencies.

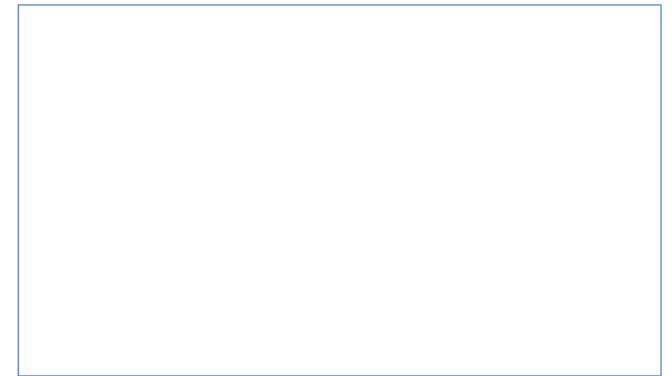
360 degree addresses skills such as listening, planning, and goal-setting.

360 degree focuses on subjective areas such as teamwork character, and leadership effectiveness.

360 degree provides feedback on how others perceive an employee.



Potential Appraisal



What is Potential ?

Potential can be defined as ‘a latent but unrealised ability’. There are many people who have the desire and potential to advance through the job they are in, wanting the opportunity to operate at a higher level of competence in the same type of work.

POTENTIAL



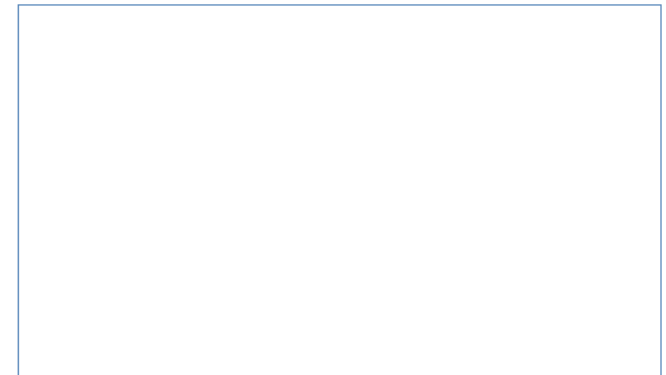
Qualities that exist
and can be developed

APPRAISAL



Evaluation

- Beyond the Present Role.



Review Appraisal At Cadbury



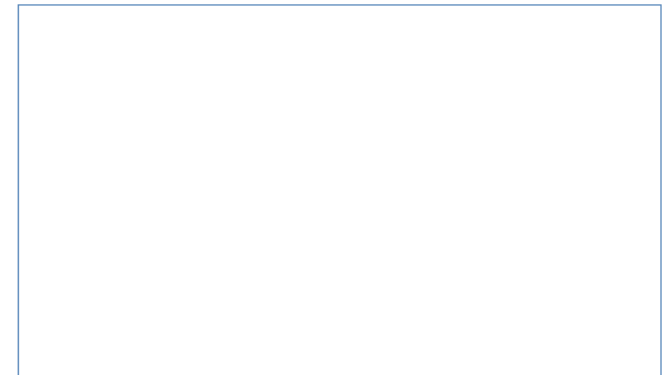
Cadbury introduced its new performance appraisal system but it is also moving towards potential appraisal.

As VP points out, “The system is still evolving. One by one, we are taking up other elements of the appraisal system.”

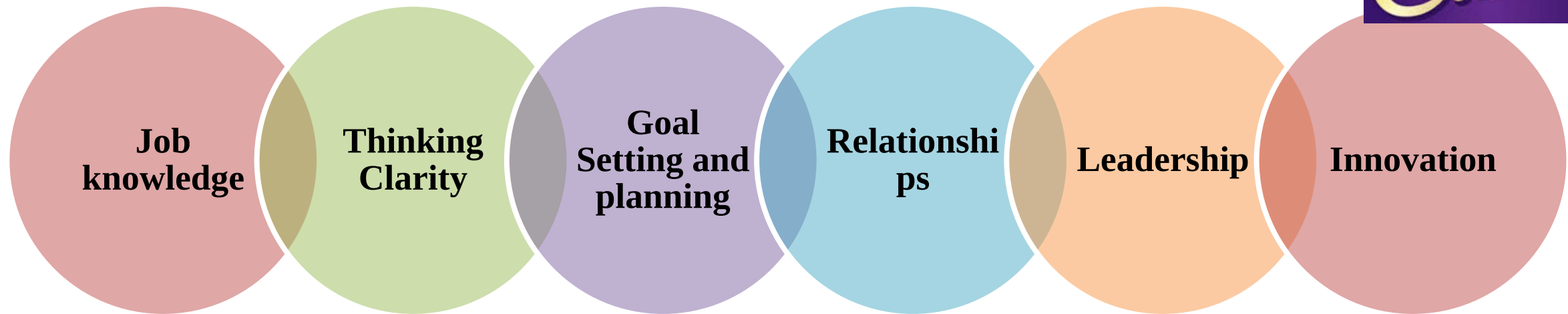
However, at present it obtains insights into the potentials of its people through the review system conducted by immediate supervisors, departmental heads or the functional, departmental heads or the functional VP.

The review process evaluates potential for growth, it also determines the action plans for career development of its people.

Thereafter, attempts are made to rate the people on six generic competencies which are presented in the next slide.

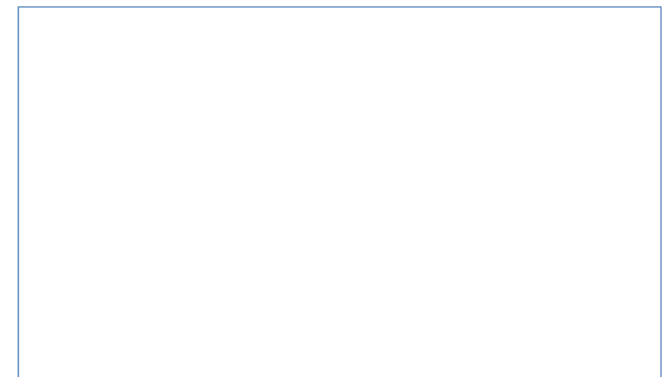


Review Appraisal At Cadbury: (cntd.)

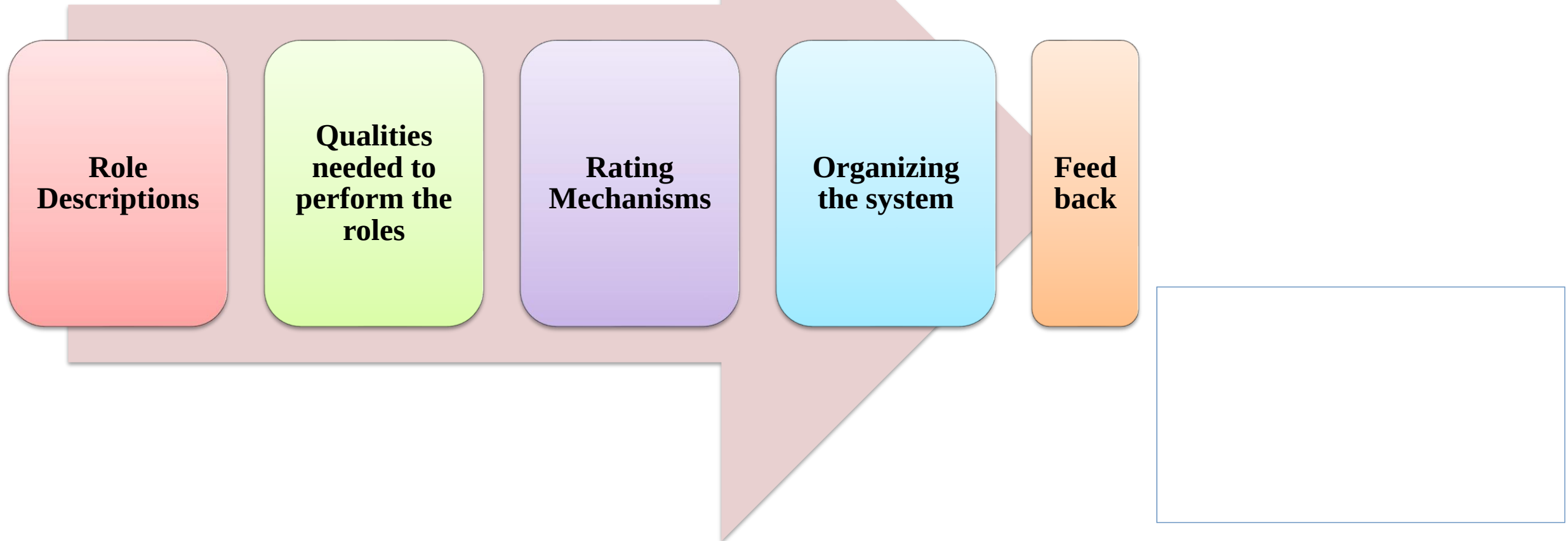


These competencies are further rated on a 5 point scale.

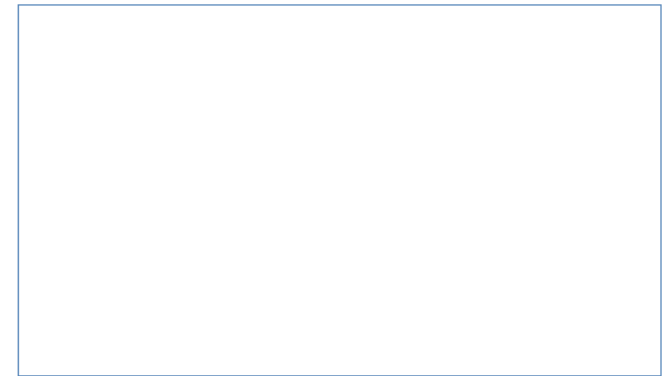
The HR VP points out, “ We believe that a potentially good manager must display certain behavioural characteristics which transcend job.”



Steps of Potential Appraisal System:



Benefits of Potential Appraisal



Research Paper

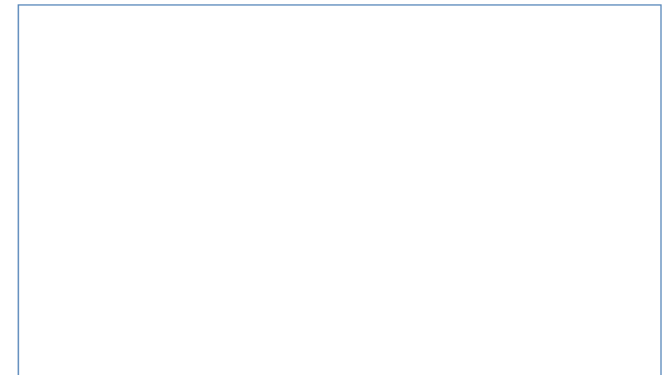
Participation in the Performance Appraisal Review: Inflexible Manager Behavior and Variable Worker Needs

[Martin M. Greller](#) [View all authors and affiliations](#)

[Volume 51, Issue 8](#) | <https://doi.org/10.1177/001872679805100804>

ABDC-A*

Summary/Abstract: A survey of 137 employees provided data on performance appraisal reviews conducted by 38 managers. Participation in the review was influenced more by which manager conducted the review than the circumstances of the specific review. The effect of participation was greater for variables measuring future relationship (potential in the firm and seeking feedback from manager) than immediate decisions (self-evaluation and intention to stay). Reaction to the review was moderated by subordinate experience and prior feedback. The results indicate the importance of understanding the context in which the review occurs and the limited degree to which managers alter their own behavior in the review.



Thank You

